

News

MOODY'S CORPORATION THIRD QUARTER 2021 EARNINGS CONFERENCE CALL

THURSDAY, OCTOBER 28, 2021

ROB FAUBER, MARK KAYE, SHIVANI KAK

Shivani Kak:

Thank you. Good morning, and thank you for joining us to discuss Moody's third quarter 2021 results and our revised outlook for full year 2021. I am Shivani Kak, Head of Investor Relations. This morning, Moody's released its results for the third quarter of 2021, as well as our outlook for full year 2021. The earnings press release and a presentation to accompany this teleconference are both available on our website at ir-dot-moodys-dot-com.

Rob Fauber, Moody's President and Chief Executive Officer, will lead this morning's conference call. Also making prepared remarks on the call this morning will be Mark Kaye, Moody's Chief Financial Officer.

During this call, we will also be presenting non-GAAP, or adjusted, figures. Please refer to the tables at the end of our earnings press release filed this morning for a reconciliation between all adjusted measures referenced during this call and U.S. GAAP.

I call your attention to the "Safe Harbor" language, which can be found toward the end of our earnings release. Today's remarks may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. In accordance with the Act, I also direct your attention to the "Management's Discussion and Analysis" section and the risk factors discussed in our Annual Report on form 10-K for the year ended December 31, 2020 and in other SEC filings made by the Company, which are available on our website and on the SEC's website. These, together with the "Safe Harbor" statement, set forth important factors that could cause actual results to differ materially from those contained in any such forward-looking statements.

I would also like to point out that members of the media may be on the call this morning in a listen-only mode. I will now turn the call over to Rob Fauber.

Rob Fauber:

Thanks, Shivani. Good morning and thanks to everyone for joining today's call.

I'm going to begin by providing a general update on the business, including Moody's third quarter 2021 financial results. Following my commentary, Mark Kaye will provide further details on our third quarter 2021 performance, as well as our revised 2021 outlook. After our prepared remarks, we are happy to take your questions.

Moody's delivered robust financial results in the third quarter of 2021. Revenue of \$1.5 billion dollars grew 13 percent due to strong customer demand for our mission-critical products and insights.

In both operating segments, revenue increased in the double-digit percent range. For MIS, attractive market conditions continued to drive opportunistic refinancing and M&A activity for leveraged loans and structured finance issuance. Meanwhile, MA experienced strong growth across our subscription-based products which now comprise 93 percent of total MA revenue on a trailing twelve-month basis.

We remained focused on delivering on our integrated risk assessment strategy through innovation and investment in high-growth markets, and I'll spotlight a few examples later in the call.

As a result of our strong third quarter performance, we have revised our full-year 2021 guidance and now forecast Moody's revenue to grow in the low-teens percent range. Additionally, we have raised and narrowed our adjusted diluted EPS guidance to be in the range of \$12.15 to \$12.35, which, at the mid-point of \$12.25, represents an approximate 21 percent annual growth rate.

In the third quarter, MIS revenue was up 12 percent from the prior year and MA revenue was up 13 percent. Organic MA revenue increased 8 percent.

Moody's adjusted operating income rose 2 percent to \$737 million dollars. During the third quarter expense growth was higher than revenue as we invested significantly in our capabilities and product development in order to better serve a number of high-growth use cases. Adjusted diluted EPS was \$2.69, flat to the prior-year period. Mark will provide additional details on our financials shortly.

Favorable market conditions led to the strongest third quarter in over a decade in terms of both MIS revenue and rated issuance.

Leveraged loan issuance was very strong, supported by low default rates, robust private equity activity, and investor appetite for floating rate debt amid higher inflation and rising interest rate expectations.

As we anticipated in our prior guidance, investment grade supply moderated given the tough prior year comparable, however volumes were still substantial and remained above the ten-year historical average for MIS rated debt.

Additionally, after a muted 2020, structured finance issuance reverted back to levels seen in 2017 and 2018. Ongoing favorable market conditions, including tight spreads, drove both CLO refinancing activity and new CLO creation, as well as new CMBS and RMBS issuance.

As you can see on the chart on the left, tight credit spreads combined with low default rates created an attractive environment for opportunistic refinancing and M&A activity in the third quarter.

The U.S. default rate is forecast to fall below 2 percent by year end, a significant reduction from a pandemic-high of nearly 9 percent.

While the uses of proceeds were weighted towards refinancing earlier in the year, heightened M&A activity continued in the third quarter as issuers used acquisitions to support growth.

We frequently comment on our views on long-term issuance drivers, which include GDP growth, ongoing disintermediation trends and upcoming refinancing needs.

Based on our annual research published by Moody's Investors Service earlier this month, refunding walls over the next four years for U.S. and European issuers have increased 9 percent to approximately \$4.1 trillion dollars, and investment grade supply remains the biggest asset class despite the recent surge in leveraged loans. This is slightly above the historical CAGR and is supported by 19 percent growth in U.S. leveraged loan forward maturities and 7 percent growth in U.S. investment grade forward maturities, providing a solid underpinning for medium-term issuance.

Now, moving to Moody's Analytics.

MA's recurring revenue grew 18 percent in the quarter and as I mentioned earlier, now represents 93 percent of total MA revenue on a trailing twelve-month basis. This is supported by new customer demand and strong retention rates, which is a testament to the mission-critical nature of our product suite.

The chart on the right illustrates the strong organic recurring revenue growth, on a trailing twelve-month basis, across some of our key operating units. Each of these businesses currently represent at least \$100 million dollars of annual revenue, with growth rates above 10 percent versus the prior year.

Starting with Credit Research and Data Feeds, recurring revenue improved in the low-double-digit percent range through a combination of increased yields and sales to new and existing customers.

Recurring revenue in banking solutions within the ERS business grew at a similar pace, as customers continued to leverage our products to support a wide range of functions, from lending to portfolio management, as well as accounting and reporting requirements.

Recurring revenue for our insurance and asset management business within ERS increased in the mid-twenties percent range and was driven by ongoing demand for our actuarial modeling and IFRS17 solutions.

And finally, KYC and compliance built on its strong start to the year – also growing in the mid-twenties percent range. This continues to be an important growth driver for Moody's that I'd like to expand on further.

Last quarter, I summarized a few key trends underpinning growth in the KYC market, and described how our differentiated offerings are driving organic growth rates north of 20 percent.

Let me give you a few examples that illustrate the value we provide across a variety of customer applications.

In banking, one of our core use-cases is to support customer due diligence requirements by providing transparency into counterparty relationships and beneficial ownership structures. The accuracy, quality and linkage of our data enables us to be a trusted partner in complying with regulatory requirements and managing reputational risk across the financial sector.

Turning to a large automotive leasing company. They previously relied on manual processes, but have now automated their supplier due diligence activities by using our Orbis database to onboard and monitor over 150 thousand suppliers and their beneficial owners.

Last, a worldwide transportation company was looking for an integrated supplier-risk solution to comply with anti-bribery and corruption laws and to automate their risk assessment procedures. They chose our Compliance Catalyst solution to help them onboard and monitor over 18 thousand suppliers, primarily because it provided them with a single tool from which to source high quality compliance, financial and ESG data.

Last month, we closed on the RMS acquisition and are very excited to welcome our new colleagues to Moody's.

Our teams have begun the work to jointly advance our integration plans.

Recently I had the opportunity to spend a couple of days together with the MA and RMS management teams to get to know each other and align on priorities. It is clearly a great cultural fit, and we see interesting opportunities across our combined life and P&C businesses, potential for new solutions that empower integrated risk assessment, and an opportunity to synch and upgrade our technology platforms.

We are focused on three key areas to drive incremental revenues and achieve our targets. First is cross-selling to our respective customers, and we have already begun conducting joint customer meetings to start to identify opportunities and the dialogues are encouraging. Second is the transition of RMS customers to their new SaaS platform, where RMS will benefit from MA's recent experience and which represents an opportunity for revenue uplift. And third is new product development and integration. When I was with the team, they identified a wide range of opportunities, from simple integrations to enhance our insurance analytics to new products serving new customer segments. In fact, we have a team working specifically on identifying opportunities for corporates and governments across climate and cyber.

So, our work with RMS has begun and we are looking forward to the future together.

At the beginning of this year, I highlighted our strategic priorities as a global integrated risk assessment firm, including collaborating, modernizing and

innovating to meet our customers' rapidly changing needs. I want to showcase a few examples of how we are delivering on our strategy across the company.

Beginning with ESG and Climate, we recently launched new capabilities to help customers using our credit scoring tools to integrate and understand the financial impact of physical and transition risks. The new module enhances our award-winning models, and covers over 40,000 public companies and millions of private firms.

Within our ratings business, we recently expanded our ESG Credit Impact Score methodology to include Financial Institutions. This is the next step in building out comprehensive coverage on our rated issuance universe and furthering our efforts to help investors clearly understand the impact of E, S & G factors on credit.

In MA, we are leveraging cloud and SaaS technologies to improve the customer experience. For example, as part of our Data Alliance consortia, we've released our first set of CECL dashboards, enabling banks to benchmark themselves against their peers and enhancing the value of our product.

And, we are integrating commercial property data and cash flow analytics into our CreditLens suite of solutions to help CRE lenders make better decisions. This marks an important expansion of our offerings serving the commercial real estate sector.

Finally, the exponential increase in cyber-attacks and ransomware has threatened the stability and reputation of businesses across the world. To help our customers understand this evolving risk, we made a significant investment in BitSight, a leader in the cybersecurity ratings space. We see many potential opportunities for us to integrate their data and analytics into our products and solutions. Together we will help market participants better measure and manage their cyber risks across supply chains and portfolios.

With COP26 beginning in a few days, I want to underscore the importance of ESG and Climate to both our stakeholders and to the Moody's organization. This is evident in the way climate considerations are embedded across our company.

Within our products, we offer market participants the tools they need to better identify, measure and manage climate resilience. We have developed a comprehensive suite of climate risk data, scores and insights to measure physical exposure to climate hazards, analyze a company's transition risk and also understand how climate risk translates into credit risk. The addition of RMS will

meaningfully enhance the quality of our offerings to help deliver world-class analytics to the market.

And, as part of Moody's corporate commitment to sustainability, we announced several significant actions in the third quarter.

We brought forward our commitment to achieve net-zero across our operations and value chain to 2040, 10 years earlier than our original target. Additionally, we are very proud to have achieved recognition as a 2021 Global Compact LEAD company, a major distinction from the world's largest corporate sustainability initiative. And, as a founding member of the Glasgow Financial Alliance for Net Zero, we are committed to align all of our relevant products and services to achieve net-zero greenhouse gas emissions.

These efforts underscore our strong commitment to address the climate crisis and drive positive change.

Before I hand the call over to Mark to discuss our financials, on behalf of the executive team, I want to thank all of our employees for their hard work and dedication in helping us achieve yet another great quarter.

Mark Kaye:

Thank you, Rob.

In the third quarter, MIS revenue and rated issuance increased 12 percent and 11 percent, respectively, on elevated leveraged loan and CLO activity.

Corporate finance revenue grew 6 percent compared to a 2 percent increase in issuance. Heightened demand continued for leveraged loans as issuers opportunistically refinanced debt and funded M&A transactions. Additionally, we observed lighter investment grade activity compared to the record level in the prior-year period, as well as a decline in high yield bonds as investors pivoted to floating rate debt.

Financial institutions revenue rose 14 percent, supported by 25 percent growth in issuance. Transaction revenue was up 24 percent as infrequent bank and insurance issuers took advantage of the attractive rate and spread environment.

Revenue from public, project and infrastructure finance declined 2 percent, compared to a 17 percent decrease in issuance, as U.S. public finance issuers largely fulfilled their funding needs in prior periods.

Structured finance revenue was up 63 percent, supported by a strong recovery in issuance. While this was primarily attributable to CLO refinancing activity, the third quarter also had a high level of new deals driven by the surge in leveraged loan supply. In addition, CMBS and RMBS formation further bolstered overall results.

MIS's adjusted operating margin benefitted from approximately 190 basis points of underlying expansion more than offset by the impact of higher incentive compensation associated with our improved full-year outlook, a legal accrual adjustment in the prior year and a charitable contribution via The Moody's Foundation.

Moving to MA, third quarter revenue rose 13 percent, or 8 percent on an organic basis.

Ongoing demand for our KYC and compliance solutions, as well as data feeds, drove a 15 percent increase in RD&A revenue, or 12 percent organically. This was further supported by mid-90s percent retention rates and robust renewal yields for our credit research and data products.

ERS revenue rose 8 percent in the quarter. Organic recurring revenue grew 13 percent, driven by customer demand for our banking products, as well as insurance analytics solutions. This was more than offset by an expected decline in one-time revenue and led to a 2 percent decrease in overall organic revenue. As a result of our strategic shift toward SaaS-based solutions, recurring revenue comprised 90 percent of total ERS revenue in the third quarter, up 12 percentage points from the prior-year period.

MA's adjusted operating margin benefitted from approximately 210 basis points underlying expansion more than offset by acquisitions completed in the last twelve months, non-recurring transaction costs associated with RMS, and the charitable contribution via The Moody's Foundation.

Turning to Moody's full-year 2021 guidance.

Moody's outlook for 2021 is based on assumptions regarding many geopolitical conditions, macroeconomic and capital market factors. These include, but are not limited to, the impact of the COVID-19 pandemic, responses by governments, regulators, businesses and individuals, as well as the effects on interest rates, inflation, foreign currency exchange rates, capital markets' liquidity and activity in different sectors of the debt market. The outlook also reflects assumptions

regarding general economic conditions, the company's own operations and personnel, as well as additional items detailed in the earnings release.

Our full-year 2021 guidance is underpinned by the following macro assumptions: 2021 U.S. GDP will rise in the range of 5.5 to 6.5 percent and Euro area GDP will increase in the range of 4.5 to 5.5 percent. Benchmark interest rates will gradually rise with U.S. high yield spreads remaining below approximately 500 basis points. The U.S. unemployment rate will remain below 5 percent through year-end and the global high yield default rate will fall below 2 percent by year-end.

Our guidance also assumes foreign currency translation at end-of-quarter exchange rates. Specifically, our forecast for the balance of 2021 reflects U.S. exchange rates for the British pound of \$1.35 and \$1.16 for the euro. These assumptions are subject to uncertainty, and results for the year could differ materially from our current outlook.

We have updated our full-year 2021 guidance for several key metrics. Moody's revenue is now projected to increase in the low-teens percent range and we have maintained our expectation for expenses to grow approximately 10 percent. As such, with an improved revenue outlook and ongoing expense discipline, we have expanded Moody's adjusted operating margin forecast to be approximately 51 percent.

We raised and narrowed the diluted and adjusted diluted EPS guidance ranges to \$11.65 to \$11.85, and \$12.15 to \$12.35, respectively. We forecast free cash flow to remain between \$2.2 and \$2.3 billion dollars and anticipate that full-year share repurchases will remain at approximately \$750 million dollars, subject to available cash, market conditions, M&A opportunities and other ongoing capital allocation decisions.

For a complete list of our guidance, please refer to Table 12 of our earnings release.

Moving to the operating segments - within MIS, we now forecast full-year revenue to increase in the low-teens percent range and rated issuance to grow in the high-single-digit percent range.

MIS's issuance guidance assumes that full-year leveraged loan and structured finance issuance will both increase by approximately 100 percent, up from our prior assumption of 75 percent growth for each of these asset classes.

Investment grade issuance is forecast to decline by approximately 35 percent, an improvement from our prior assumption of a 40 percent decrease. High yield bond issuance is expected to increase by approximately 20 percent, slightly lower than our prior outlook.

Additionally, we are raising our guidance for first time mandates to a range of 1,050 to 1,150. This is significantly above recent levels and will enable us to generate incremental revenue through future annual monitoring fees.

We are also increasing MIS's adjusted operating margin guidance to approximately 62 percent, which implies approximately 200 basis points of margin expansion compared to 2020's full year result. This operating leverage is driven by continued top-line outperformance and well-controlled expenses.

For MA, we are maintaining our revenue growth projection in the mid-teens percent range, supported by our strong retention rates and the continued growth of SaaS and subscription products. We are also reaffirming the adjusted operating margin guidance of approximately 29 percent. These metrics include the impact of a deferred revenue haircut related to the RMS acquisition, as well as the non-recurring transaction-related expenses I noted earlier.

Excluding the impact of acquisitions completed in the prior twelve months, MA revenue growth is anticipated to increase in the high-single-digit percent range and the adjusted operating margin is forecast to expand by approximately 300 basis points.

As I previously mentioned, we are reaffirming our full-year 2021 expense growth guidance of approximately 10 percent.

For the third quarter, operating expenses rose 19 percent over the prior-year period, of which approximately 16 percentage points were attributable to operational and transaction-related costs associated with recent acquisitions, including RMS, as well as higher incentive and stock-based compensation accruals, a \$16 million dollar charitable contribution via The Moody's Foundation and movements in foreign exchange rates. The remaining expense growth of approximately 3 percent was comprised of organic investments, as well as operating costs, such as hiring and salary increases, and was partially offset by ongoing cost efficiency initiatives.

We are on track to reinvest approximately \$100 million dollars back into the business in 2021. These organic investments are concentrated in the areas we've

mentioned throughout this year, including ESG and Climate, KYC and compliance, CRE, as well as technology improvements and geographical expansion.

Before turning the call back over to Rob, I would like to underscore a few key takeaways:

First, we're pleased to have raised our full-year guidance across several key metrics primarily due to robust third quarter performance.

Second, economic recovery and constructive market conditions continue to support issuance levels and refunding activity.

Third, MA's high proportion of recurring revenue and retention rates, along with growing customer demand for our award-winning product suite, positions Moody's for sustainable long-term success.

Fourth, our ongoing key organic investments in high-growth markets accelerate our integrated risk assessment strategy across a wider range of use cases.

And finally, our focus on innovation and product enhancement delivers best-in-class ESG and climate solutions to our stakeholders, enabling them to make better decisions.

And with that, let me turn the call back over to Rob.

Rob Fauber:

Thank you, Mark.

Finally, I'd like to announce that Moody's will be hosting our next Investor Day on March 10th, 2022, in New York City, and will showcase important aspects of our business.

Thank you for joining today's call. We look forward to speaking with you again in the new year.

This concludes our prepared remarks. Mark and I would be pleased to take your questions. Operator?

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

Certain statements contained in this document are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements in this document are made as of the date hereof, and Moody's disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, Moody's is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to the impact of COVID-19 on volatility in the U.S. and world financial markets, on general economic conditions and GDP in the U.S. and worldwide, and on the Moody's own operations and personnel; future world-wide credit market disruptions or economic slowdowns, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates, inflation and other volatility in the financial markets such as that due to Brexit and uncertainty as companies transition away from LIBOR; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy, including those related to tariffs, tax agreements and trade barriers; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which Moody's may be subject from time to time; provisions in U.S. legislation modifying the pleading standards and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the

expansion of supervisory remit to include non-EU ratings used for regulatory purposes; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of Moody's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if Moody's fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which Moody's operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of Moody's to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. Other factors, risks and uncertainties relating to our acquisition of RMS could cause our actual results to differ, perhaps materially, from those indicated by these forward-looking statements, including risks relating to the integration of RMS's operations, products and employees into Moody's and the possibility that anticipated synergies and other benefits of the acquisition will not be realized in the amounts anticipated or will not be realized within the expected timeframe; risks that the acquisition could have an adverse effect on the business of RMS or its prospects, including, without limitation, on relationships with vendors, suppliers or customers; claims made, from time to time, by vendors, suppliers or customers; changes in the U.S., Europe (primarily the U.K.), Japan, India or global marketplaces that have an adverse effect on the business of RMS; and other factors, risks and uncertainties relating to the transaction as set forth under the caption "'Safe Harbor' Statement under the Private Securities Litigation Reform Act of 1995 " in Moody's report on Form 8-K filed on August 6, 2021, which are incorporated by reference herein. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are currently, or in the future could be, amplified by the COVID-19 outbreak, and are described in greater detail under "Risk Factors" in Part I, Item 1A of Moody's annual report on Form 10-K for the year ended December 31, 2020, and in other filings made by Moody's from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on Moody's business, results of operations and financial condition. New factors may emerge from time

to time, and it is not possible for Moody's to predict new factors, nor can Moody's assess the potential effect of any new factors on it.